

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DOH

Date: 5/20/2026

Bill Number: SB 24

Short Title (as it appears on BASIS): TOBACCO/NICOTINE/E-CIG AGE; E-CIG TAX

What action do you recommend the Governor take?

Select one.

☐ SIGN ☐ VETO ☒ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

The bill is recommended for Law Without Signature as adopting identical state and federal laws for tobacco consumption simplifies compliance and assures that the State of Alaska will continue to be eligible for tobacco settlement funds into the future. Other inclusions such as the cigar lounges and the taxation policy is controversial in the public health policy space and doesn't necessarily align with best practice for prevention of tobacco consumption.

Information on T21

On December 20, 2019 when President Trump signed The *Further Consolidated Appropriations Act of 2020* – PL 116-94, 133, Stat 2534, which amended the federal *Food, Drug, and Cosmetic Act*, raising the federal minimum age for sale of tobacco products from 18 to 21 years old, which preempts state laws. The law did not require states to enact conforming state legislation to demonstrate compliance with these federal changes, provided they “enforce underage access laws to a degree that can reasonably be expected to reduce the illegal sale of tobacco products to individuals under age 21. Alaska's enforcement program lacks statutory authority to issue citations to retailers for tobacco or nicotine sales to persons ages 19-20.

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What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

SB24 raises the minimum legal age to purchase tobacco and nicotine products from 19 to 21. The bill repeals the current exception for prisoners. The bill reduces the fine for underage possession of tobacco or nicotine from \$500 to \$100, with an option for the court to refer the person in possession to a tobacco education program. The bill retains the exception for electronic cigarettes used for tobacco cessation, if approved by the Food and Drug Administration (FDA) as a cessation device. Retains minimum legal age of 19 for clerks in licensed retail locations.

The bill creates a new sales tax structure for electronic smoking products, which are not currently taxed. The bill prohibits online sales of tobacco products to individuals for personal use, likely to address current inconsistencies in state tobacco tax collection. The definition of electronic smoking products would implement a 25% sales tax on closed electronic smoking products and vapor products. Additionally, statute is amended for the excise tax levied on tobacco products to add “synthetic nicotine products, and nicotine substitutes.” The current excise tax for tobacco products is 75 percent of the wholesale price.

This bill removes the Tobacco Use Education and Cessation Fund (TUECF) as a special account within the General Fund and establishes TUECF as its own fund within the state treasury. The bill limits the nicotine content of electronic smoking devices along with regulation of their packaging, labeling, and marketing within Alaska.

This bill adds an exemption to allow for onsite smoking of cigars in retail cigar stores.

The bill includes shipping restrictions to prevent underage access.

This bill sets a limit on nicotine concentration of e-cigarettes at 70 mg/ml.

The bill sets an effective date of July 1, 2026; Sections related to sales, shipping, licensing, and tax have an effective date of July 1, 2027.

This bill will align with Governor Dunleavy’s priorities by supporting healthy families through preventing youth addiction and ensuring ongoing resources and education to families about tobacco and nicotine health effects.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Section 1 AS 11.76.100(a) Selling or giving tobacco to a minor

Raises the age from 19 years to 21 years for the offense of selling or giving tobacco products or

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products containing nicotine. Retains minimum legal age of 19 for clerks in licensed retail locations.

Section 2 AS 11.76.100(b) Selling or giving tobacco to a minor

Conforming language: Raises the age from 19 years to 21 years for signage requirements at vending machines.

Section 3 AS 11.76.105 Possession of tobacco, electronic smoking products, or products containing nicotine by a person under 19 years of age

- Raises the age from 19 years to 21 years for the offense of possessing tobacco, electronic smoking products or products containing nicotine. Reduces the fine for possession from \$500 to \$100, with an option for the court to refer the person in possession to a tobacco education program in lieu of a fine.
- Removes the current exception for persons in a correctional facility, meaning that prisoners under age 21 in possession of these products would be in violation. (Federal law does not exempt prisoners.)
- Allows an exception for electronic cigarettes if recognized by the U.S. Food and Drug Administration as cessation device. Removed existing language exempting products approved by FDA for sale as a harm reduction product. E-cigarettes are not currently approved by the FDA for tobacco cessation.

Section 4 AS 11.76.105 (Possession of tobacco, electronic smoking products, or products containing nicotine by a person under 19 years of age

- A subsection (d & e) added to designate the supreme court to establish by rule or order a schedule of bail amounts that may be forfeited without court appearance to violation of this section. The subsection then states that the supreme court may not allow for the disposition of an offense without court appearance for persons under 18. This section appears to make the court appearance optional for people 18, 19, and 20, but mandatory for minors.
- A subsection (f) added to clarify that provisions to not apply to a person who is 19 or 20 selling at an establishment with license endorsement.

Section 5 AS 11.76.106(b) Selling tobacco, electronic smoking products or products containing nicotine outside controlled access

Conforming language to raise the minimum age from 19 to 21 years for tobacco retailers who restrict underage entry into their stores and are therefore permitted to sell products outside of controlled access.

Section 6 AS 11.76.109(a) Selling or giving a product containing nicotine to a minor

- Amended language for person who sells or gives electronic smoking devices to change minor to person under 21 years of age.
- Amended to raise the age from 19 years to 21 years for the offense of selling or giving tobacco.
- Retains the current minimum age to sell tobacco products (store clerks) at 19, which is not consistent with regulation for other controlled substances such as alcohol.

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Section 7 AS 11.76.109(b): Selling or giving a product containing nicotine to a minor (exemption for medication)

Amended existing exemption for FDA approved cessation medication to reflect the change in legal age to purchase other nicotine products (age 19 years to 21). Removed term “harm reduction” from this exemption, which appears to be a technical fix on FDA drug approval terminology. The FDA does not authorize “harm reduction” products but does have an extensive process to authorize drugs for treatment.

Section 8 AS 11.76.109(d): Selling or giving a product containing nicotine to a minor

Conforming language: Raises the age from 19 years to 21 years for signage requirements at vending machines.

Section 9 AS 11.76.109(g): Selling or giving a product containing nicotine to a minor

Conforming language: Amends to change minor to “person under 21 years of age” for violation and maintains the existing fine of not less than \$300.

Section 10 AS 11.81.900(b): Definitions relating to criminal law for selling nicotine to underage persons

Amended to add a new paragraph (69) defining “nicotine” as “a chemical or chemical compound intended, when introduced into the human body, to mimic or simulate the effect of nicotine from tobacco,” which encompasses synthetic nicotine.

Section 11 AS 18.35.301(i) Prohibition of Smoking

Amended by adding a new paragraph to define “cigar retail store” which derives 60% of its gross revenue of on-site sale cigars and rentals of on-site humidors, does not allow cigarettes on premise, contains walk-in or stand-up humidor as a built-in feature on premise.

Section 12 AS 18.35.301 Prohibition of Smoking

Amended to add a new subsection that allows for cigars to be smoked at a “retail cigar store” that is freestanding, or attached with a separate entrance, separated in a manner that does not allow for “cigar aerosols” to travel to other business(es), and other building does not serve as a residence, childcare facility, facility providing for adults on a fee-for-service basis, school, or health care facility. Smoking of cigars is not allowed to be sold where pull-tabs are sold or in a retail store that is within an indoor public place or workplace.

Section 13 AS 29.35.085(c) Curfew

Conforming language with section 32.

Section 14 AS 37.05.580(a): Tobacco use education and cessation fund

Amended to establish the Tobacco Use Education and Cessation Fund as a separate fund in state treasury, changing its status as a separate account within the general fund. Added changes to language that further clarifies the process to deposit 20% of the annual revenue from the Master Settlement Agreement into that separate fund.

Section 15 AS 43.50.070: Suspension or revocation of or refusal to renew a license

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- Amended to include electronic smoking products for this violation.
- Amended to included AS 43.50.850-43.50.880 for licensees.

Section 16 AS 43.50.105(b): Restrictions on shipping or transporting cigarettes

- Amended to raise the age from 19 years to 21 years for receiving a shipment of cigarettes for personal consumption.
- Amended to require age verification through a third party at time of purchase.

Section 17 AS 43.50.105(c): Restrictions on shipping or transporting cigarettes

- Amended to have a carrier verify that age of recipient is 21 or older before delivery.

Section 18 AS 43.50.150(c): Administration and regulatory authority; cooperation with municipalities

- Amended to include synthetic nicotine products, nicotine substitutes, or electronic smoking products for municipal taxation.
- Amended to included AS 43.50.850-43.50.900 for licensees.
- Removes “other” from other tobacco products for taxation and adds “synthetic nicotine products, nicotine substitutes, or electronic smoking products.”

Section 19 AS 43.50.190(d): Additional Levy on Cigarettes

- Conforming language to reflect the change in the Tobacco Use Education and Cessation Fund. It is unclear why the following language was removed: “This deposit shall be in addition to any sums deposited into the fund under AS 37.05.580(a).”

Section 20 AS 43.50.300: Excise Tax Levied

- Levies an excise tax on tobacco products, synthetic nicotine products, and nicotine substitutes at the rate of 75 percent of the wholesale price.

Section 21 AS 43.50.320(a): Licensing Requirement

- A person must be licensed by the department if engaging in business as a distributor for a tobacco product, synthetic nicotine product, or nicotine substitute subject to the tax.

Section 22 AS 43.50.325: Restrictions on shipping or transporting tobacco products and electronic smoking products

- Amended to add a new section regulating shipment or transportation of tobacco products and synthetic nicotine products, nicotine substitutes, or electronic smoking products in Alaska. Defines who may send, receive or transport tobacco product shipments. Subsections cover:
 - Non-licensed personnel from shipping with exceptions
 - (a)(4) Added 21 years+ individuals purchasing and receiving cigars or pipe tobacco for personal consumption can receive shipments if age is verified through a third-party systems verification service
 - Licensed personnel shipping tobacco products and synthetic nicotine products, nicotine substitutes, or electronic smoking products

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- Common or contracted carriers transporting tobacco products and synthetic nicotine products, nicotine substitutes, or electronic smoking products
 - (c) removed requirements for common/contract carriers to verify ID of the person shipping the product, and removes requirement of affidavit provision from intended recipient
- Non-common or non-contracted carriers transporting tobacco products and synthetic nicotine products, nicotine substitutes, or electronic smoking products
- Packaging of tobacco products and electronic smoking products to be shipped stating “tobacco product” on package
- Classifies provision violations as a Class A misdemeanor
- Includes a civil penalty not exceeding \$500 per violation
- Includes tax provision violations

Section 23 AS 43.50.390(1):

Amends definition of “distributor” to include the phrase “synthetic nicotine product, or nicotine substitute.”

Section 24 AS 43.50.390(4)

Amends definition of “tobacco product” to add “or synthetic tobacco” under subsection (H).

Section 25 AS 43.50: Tobacco Taxes and Sales

Amended to add sections for electronic smoking product tax structure

Article 8. Electronic Smoking Products Sales, Shipping, Licensing, and Tax.

- Sec 43.50.850 Tax Levied
 - Levies a 25% sales tax for closed electronic smoking devices and vapor products
 - Add subsection (b) Tax will be collected and remitted by out-of-state vendors with more than 200 transactions in-state in the current or preceding calendar year.
- Sec. 43.50.855 Exemptions
 - Does not apply to
 - closed electronic products:
 - Sold in facilities operated by uniformed services of United States
 - Approved for sale under FDA
 - If the US Constitution or federal laws prohibit levying this type of tax
 - Design for vaping marijuana and only intended for sale in a marijuana store
 - Marijuana products subject to tax if they don’t contain nicotine and are intended for sale in retail marijuana stores
 - Hemp products that don’t contain nicotine
- Sec. 43.50.860 Licensing
 - Requires licensing if engaging in business as a retailer of e-cigarette products
- Sec. 43.50.865 Returns
 - Monthly filing requirement of electronic smoking product sales and tax
- Sec. 43.50.870 Records

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- Record keeping requirements for sales of electronic smoking products
- Sec. 43.50.875 Disposition of proceeds
 - Directs the full, annual proceeds from the new e-cigarette tax to new tobacco use education and cessation fund. Gives authority to the legislature to appropriate the funds to the Department's comprehensive smoking education, tobacco use prevention and tobacco control program identified in AS 44.29.020(a)(12) or for efforts to prevent or detect tobacco or electronic smoking products in school.
- Sec. 43.50.880 Restrictions on shipping or transporting electronic smoking products
- Sec. 43.50.885 Restrictions on electronic smoking products
 - Nicotine content must be less than 70 milligrams per milliliter, updated from 50mg/ml
 - Must have protections from breakage or leakage
 - Cannot contain added vitamins or additives to create perception of health benefits
 - Child- and tamper-proof packaging
 - Informative product labeling (ingredients and nicotine content)

Section 26 AS 43.70.075(f): License endorsement

- Amended the age of sale of electronic smoking products or nicotine-containing products to persons age 21 from 19.

Section 27 AS 43.70.075(m): License endorsement

- Amended the age of sale of tobacco, nicotine, and nicotine-containing products to the age of 21 from 19.

Section 28 AS 43.70.075(t): License endorsement

- Amended the age of sale of tobacco, nicotine, and nicotine-containing products to the age of 21 from 19 for in written policy of a person holding a business license prior to date of violation.

Section 29 AS 43.70.075(w): License endorsement

- Amended the age of sale of tobacco, nicotine, and nicotine-containing products to the age of 21 from 19.

Section 30 AS 45.50.471(b): Unlawful act and practices

- Amended by adding a new paragraph that restricts marketing electronic smoking products, accessories, batteries and chargers in a manner likely to promote the use of the product by a person under 21.

Section 31 AS 45.50.471(b)(58), enacted by Sec. 24 of this Act: Unlawful act and practices

- Creates definition of electronic smoking product in added section AS 43.50.990

Section 32 AS 47.12.030(b): Provisions inapplicable

- Amended age of violation from 19 to 21 years of age.
- Adjusts subsections 6 to 5, and 7 to 6.

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Section 33 AS 11.76.100(e): Selling or giving tobacco to a minor

- Repeals subsection (e), now making the act of selling or providing tobacco to a minor at an adult correctional facility an offense.

Section 34 Applicability

- Incorporates updated uncodified law section which provides list of statutes that apply to effective date.

Section 35 Sections 15, 18, 25, and 31 take effect July 1, 2027.

Section 36 Except as provided in sec. 35 of this Act, this Act takes effect July 1, 2026.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

HB 49, Tobacco/Nicotine/E-Cig Age; E-Cig Tax, by Rep. Hannan

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support or in opposition of this bill.

Support:

- Mike Bridges, Retired Brigadier General, Community Advocate, American Cancer Society, Fairbanks, AK (contact information not provided)
- Chief William, F. Smith, Chairman, Alaska Native Health Board, Anchorage, AK; 907-729-7510, ph
- Rosa Kim, Senior Human Resources Business Partner, Charlie’s Produce (contact information not provided)
- Billy Stickland, Executive Director, Alaska School Activities Association (contact information not provided)
- Jamie Burgess, Superintendent, Nome Public Schools (contact information not provided)
- Rob Crane, MD, President, Preventing Tobacco Addiction Foundation/T21, 614-296-6666. ph
- Roey Armstrong, Youth Encouraging Alaska’s Health (YEAH), Anchorage, AK (contact information not provided)
- Trevor Storrs, President & CEO, and Jen Griffis, Vice President, Policy and Advocacy, Alaska Children’s Trust, Anchorage, AK; 907-248-7676, ph

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- Tabitha Karpow, Anchorage, AK (contact information not provided)
- Carrie Nyssen, Senior Director Advocacy, American Lung Association, Vancouver, WA (contact information not provided)
- Valeria Delgado, Anchorage, AK (contact information not provided)
- Aaron Osterback, Anchorage, AK; 907-947-6409, ph
- Julie Cleaton, Secretary, Board of Directors, Alaska Public Health Association, Wasilla, AK (contact information not provided)
- Beverly Wooley, Big Lake, AK; 907-830-5503, ph
- Susan Allmeroth, Two Rivers, AK; susanallmeroth@gmail.com
- Don Enslow, Volunteer, Providence Alaska Hospital, Anchorage, AK (contact information not provided)
- Scott McCumby, Valdez Police Department, Valdez, AK;
- Rebecca Cole, Wasilla, AK (contact information not provided)
- Betty K. Anderson, Vice President, Alaska Society of Addiction Medicine (contact information not provided)
- Alyssa Bloom-Keill, Fairbanks, AK (contact information not provided)
- Dr. Bob Crane, Board Chair, Preventing Tobacco Addiction Foundation; 614-296-6666, ph
- Lauren Simpson-Gomez, State Government Relations Director, American Heart Association (contact information not provided)
- Levi Gilbert, Kotzebue, AK (Contact information not provided)
- Becky Zaverl, Fairbanks, AK (contact information not provided)
- Jessica Frey, Anchorage, AK (contact information not provided)
- Leena Edias, Anchorage, AK (contact information not provided)
- Cindy Emery, Anchorage, AK (contact information not provided)

Opposition:

- Shaun D’Sylva, Fatboy Vapors Alaska, LLC; 206-948-1290, ph
- April L. Meyers, Board President & CEO, Smoke-Free Alternatives Trade Association, Washington, DC; 202-251-1661, ph
- Alex McDonald, Ice Fog Vapor, Fairbanks, AK; 907-328-1077, ph
- Scott Pearce, President, Cigar Association of America, Inc., Washington, DC; 202-233-8204, ph
- Brad Boedecker, Owner, Eagle River Chevron, Eagle River, AK; 907-317-2423, ph
- Dennis Hull, State Affairs Manager, Americans for Tax Reform, Washington, DC; 202-785-0266, ph
- Ken Griffin, Wasilla, AK (contact information not provided)
- Annette Vrolyk, Eagle River, AK (contact information not provided)

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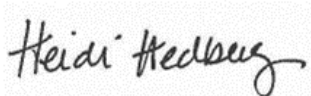
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- Mark Sundquist, Owner, Hillside and Southside Chevron, Anchorage, AK; 907-344-0929, ph
- Andrew W (contact information not provided)
- Stephen Brown, Kenai, AK (contact information not provided)
- David Soremire, Sterling, AK (contact information not provided)

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

N/A

Commissioner's Signature:  _____ Date: 5/27/2026

I have reviewed the above information and provided it to the Governor's Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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